



Instructor: Date:

Learner: Regional Branch:

Program: Center:

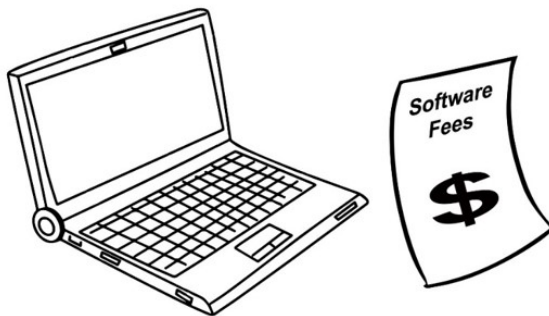
CONTENT

- Let's Start! • Let's Explore! • Let's Practice! • Extension Activity • Target Words • Learning Points



Let's Start!

Fees in Software License Agreements



Learning Outcome:

Understand information about people's backgrounds in spoken or written documents.

Participate in the improvement of IT contracts, establishing technical clauses that respond to the needs of the negotiating agents, based on current laws on contracting.

Ask your partner:

- How much extra money are you supposed to pay when acquiring a licensed software? Why?
- Have you ever thought you paid too much for a licensed software? When was it? Why?

Can Do Statements:

- I can talk about the considerations to establish fees for software license agreements.
- I can discuss other factors that affect the final fee a customer pays for a software license agreement.
- I can talk about the concept of enforcement regarding fees in a software license agreement.



Let's Explore!

A customer discusses with her software vendor the fees she has to pay for her licensed software.



Instructions: Read the text below.

- Vendor:** So, Mrs. Jones, all we have left is for you to pay for the software license and the related services.
- Customer:** Ok. I know I have to pay for the software license, but I'm not sure what the other fees are for.
- Vendor:** Well, Mrs. Jones. These fees are normally based on the duration and scope of the software usage rights granted to you by the software license agreement you just signed.
- Customer:** I see, but I'd like to know why that price is so high.
- Vendor:** Based on the kind of software you just acquired, this cost reflects the value you can derive from using it.
- Customer:** What about the fee for software maintenance and technical support? I wonder how the additional services are estimated.
- Vendor:** For technical support, you can always make a limited number of requests; and, regarding the additional services, such as required software implementation and training, I calculate them on a time and material basis using applicable rates.
- Customer:** I'd like to know if these fees are going to increase.
- Vendor:** Well, I'll let you know when I adjust these fees to the inflation and the changes in the market's conditions. Since this software license agreement imposes time-limited restrictions, you're going to have to pay a little more once the license has expired.
- Customer:** Understood. Now I want to know if I need to worry about taxes and withholdings.
- Vendor:** This license doesn't include applicable taxes and you can pay fees without any deduction or withholding. But, for this software enforcement, a periodical reactivation is needed. In order to do that you'll need some license codes we provide you with, and for that it is mandatory for you to pay the corresponding fees.



Let's Practice!

These are words you have to know in order to discuss about fees in a software license agreement.

Instructions: Find the missing words for each sentence.

1. The fees that apply depend on the software the c _ _ t _ _ _ _ acquires.
2. There is a fee for software m _ _ _ t _ _ _ _ c _ .
3. There is a fee for technical _ u _ _ _ r _ too.
4. There are some additional services, such as required software implementation and t _ _ _ n _ _ _ .
5. We calculate additional fees on a time and material basis, using _ _ _ _ _ abl _ rates.

U	M	O	G	P	P	B	J	C	O	C	L	D	F	Z	Q	T	L	H	U
S	V	D	A	G	A	U	D	U	K	K	H	W	J	N	V	H	R	W	P
X	M	R	U	A	U	N	L	S	O	O	F	S	X	Y	D	B	H	N	X
S	Q	T	F	N	W	S	F	T	Y	N	U	F	U	E	M	M	B	I	V
K	X	R	U	O	N	L	S	O	B	Y	Y	E	P	Z	U	A	X	H	P
B	B	O	H	H	H	H	U	M	U	P	E	C	S	B	F	I	H	W	I
H	S	P	B	G	F	Q	T	E	V	Y	L	X	D	G	N	N	F	D	N
G	T	P	P	R	I	X	M	R	H	N	L	H	T	W	J	T	N	Z	G
F	X	U	U	N	C	O	S	Y	O	E	B	O	C	U	V	E	L	U	L
S	P	S	Q	T	Y	N	J	R	P	V	U	R	P	E	D	N	D	W	N
X	M	T	O	R	T	R	A	I	N	I	N	G	G	W	U	A	K	H	Y
G	B	W	U	A	B	L	S	R	X	H	U	N	D	N	L	N	I	U	N
Y	P	F	Q	X	Q	I	N	Y	U	J	C	C	F	L	N	C	B	L	B
F	S	C	H	Y	F	R	K	D	Q	S	N	W	T	G	I	E	N	X	U
B	X	D	P	Y	Z	T	E	U	Q	D	A	D	B	V	G	B	M	S	J
S	B	K	I	A	P	P	L	I	C	A	B	L	E	X	B	S	M	G	S
G	F	F	R	U	V	S	Z	Q	X	A	I	I	S	S	K	W	Z	E	H
T	E	N	Z	N	P	Q	E	B	I	U	O	T	I	A	X	Y	P	E	Q
J	P	R	A	N	N	Y	W	Y	Y	I	Y	O	A	F	L	Y	D	P	P
A	F	P	H	Q	O	P	G	Y	J	M	P	V	V	F	X	U	S	P	T

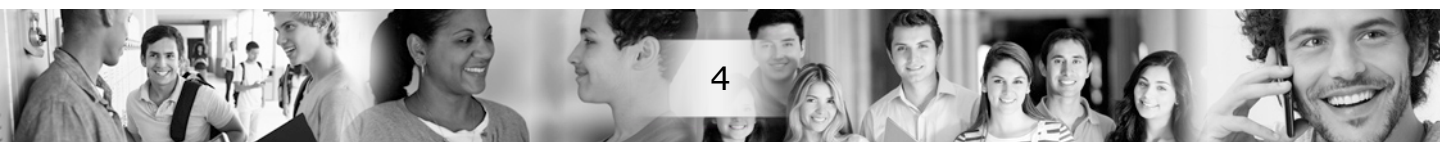


Let's Practice!

Talking About Important Fact Regarding Fees

Instructions: Select the correct answer.

1. When a customer is concerned about taxes, he would probably say....
(Hint: Check which sentence expresses his feelings.)
 - a. I want to know about my new computer.
 - b. I would like to know about the production chain.
 - c. I want to know if I need to worry about taxes and withholdings.
 - d. I want to know more about taxes.
2. When a customer is questioning himself about the taxes in different products, he would probably say.....
 - a. I wonder how the manufacturing process is.
 - b. I wonder how to create a software?
 - c. I wonder if those products include applicable taxes.
 - d. I wonder where my taxes are?
3. A person would ask for fees in products by saying...
(Hint: Think about deductions...)
 - a. I wonder if I can pay fees without any deductions or withholding.
 - b. I wonder the name of the vendor.
 - c. I wonder about the quality of this product.
 - d. I wonder how to buy more products using my credit card.
4. A vendor would inquire about the knowledge of a program used for deducting taxes by saying.....
 - a. I would like to know if you know that a periodical reactivation is needed for this software enforcement.
 - b. I would like to know how to create a video game software.
 - c. I would learn how to buy stuff on web pages.
 - d. I would like to know if you use a software for translating.
5. The customer asks for help when installing the software license agreement by saying...
(Hint: He surely want to know about the process he has to follow.)
 - a. I'd like to know how to come back home.
 - b. I'd like to buy a new computer.
 - c. I'd like to implement a new software in my house.
 - d. I'd like to know what I have to do to install the software.





Extension Activity

Customer's Guide

Instructions: Complete the following steps. Fill in the Self-Assessment.

- Look for information about fees for software license agreements.
- Describe the procedure companies follow to establish them, as well as factors that can affect the final fee and the enforcement of them.
- Write a guide for customers to help them understand basic concepts and the fees they are obligated to pay for.
- Share the guide with your classmates.

Self-Assessment

Yes No

- I look for information about fees.
- I describe them in a simple way for customers.
- I write a customer's guide in order to make them understand the fees' dynamics.
- I share the guide with my classmates.

☐	☐
☐	☐
☐	☐
☐	☐



Target Words

tax (noun): a mandatory monetary contribution to the government's revenue from the economic activity of an individual or organization.
e.g. Understood. Now I want to know if I need to worry about taxes and withholdings.

usage right (noun): the legal right to use a property, product or service.
e.g. These fees are normally based on the duration and scope of the software usage rights granted to you by the software license agreement you just signed.

withholdings (noun): charge on a citizen's activity to support the government's expenses.
e.g. Understood. Now I want to know if I need to worry about taxes and withholdings.

applicable rate (noun): a particular scale of numerical succession used to determine a charge, fee, tax or similar.
e.g. I calculate them on a time and material basis using applicable rates.

derive (verb): to obtain from.
e.g. Based on the kind of software you just acquired, this cost reflects the value you can derive from using it.

market conditions (noun): characteristics of a market into which a product or service is introduced.
e.g. Well, I'll let you know when I adjust these fees to the inflation and the changes in the market's conditions.



Learning Points

Questions Within Statements

In declarative statements there is sometimes **a question that is embedded or included**. In fact, it is used to ask for further information or to complement another idea.

Contrary to traditional interrogative structures, in which word order is reversed, in the **questions within statements** the subject follows the typical affirmative structure. Plus, the auxiliaries that we commonly use in traditional questions are avoided.

Remember that the **embedded question** is a statement, and as such, it ends with a period and not a question mark.

Examples

- *I see, but I'd like to know why that price is so high.*
- *I wonder how the additional services are estimated.*
- *I'd like to know if these fees are going to increase.*
- *Now I want to know if I need to worry about taxes and withholdings.*

Kinds of Fees in a Software License Agreement

Sometimes in the software license agreement, customers are required to pay various **kinds of fees**.

Check the following chart to learn about the most common fees that we, as customers, pay when we purchase a software:

SOFTWARE LICENSE FEE	This fee reflects the cost the customer will procure from using the licensed software, depending on the duration of the software license and the scope of the software usage rights. This kind of fees can be paid in advance, on either a one-time basis or a periodic basis.
SOFTWARE MAINTENANCE AND TECHNICAL SUPPORT FEE	This kind of fee reflects the type and reach of those services and their perceived value to the customer. These fees are usually calculated using a formula and are normally payable in advance or on a periodic basis.
FEES FOR ADDITIONAL SERVICES	Additional services, like software implementation and training, are charged by vendors. They are usually based on a fee schedule or determined on a time and materials basis using the software vendor's applicable rates.